Meta Platforms Inc

AI opportunity that is worth the wait; Buy

Reiterate Rating: BUY | PO: 810.00 USD | Price: 696.22 USD

3Q Rev beat, EPS miss on tax benefit; solid 4Q outlook

3Q rev at $51.2bn beat Street at $49.6bn. Ex-FX ad rev grew 25%, a 3pt accel. on 3pt easier comp. GAAP OI/EPS at $20.5bn/$1.05 was mixed vs Street at $19.6bn/$6.70. Excluding 1x deferred tax adjustment that aids FCF, 3Q EPS would have beat at $7.25 (vs $6.74 expected). Midpoint of 4Q revenue outlook at $56-$59bn (+16-22% y/y) was above Street at $57.4bn and suggests around 23% ad revenue growth at high end.

Investing into AI strength

Key controversy from the call is magnitude of capex and AI driven investments & related 2026 expense growth, which will cap EPS growth in 2026. Meta is building capacity ahead of revenues, and bears will likely argue there are better EPS growth options elsewhere. However, usage growth has accelerated, Meta's comments on forward year ad growth were quite bullish (taking significant share), and Meta noted revenue from automated ad tools has surpassed $60bn ARR and have significant room to grow.

Raising revs, but expenses lowering EPS; PO to $810

We are raising our revenue estimates to reflect higher user growth while materially increasing expenses to account for elevated D&A and higher AI talent costs. For 2026, we raise revenue by 1% to $240bn, expenses by 8% to $156bn (+33% y/y) and lower EPS by 10% to $28.86. We roll forward our valuation framework to 2027 and lower our PO to $810 (from $900) based 2027E GAAP EPS of $30.11 and an unchanged 27x multiple. In this report we use the after hours price of $696.22.

AI & new products can drive revenue surprises

We expect Meta stock to be controversial given a limited EPS growth outlook and y/y FCF pressure in 2026. However, we see Meta in a position of strength with massive user network and opportunity to integration compelling AI products (including content creation tools) over the next two years. We believe the bad news on expenses is now mostly "in" the stock, while product catalysts, including a new LLM and content creation tools, can drive upside engagement and revenue in 2026. Also, while FCF will likely decline in 2026, at the $695 AH price Meta is valued at 10.5x 2027E EBTIDA, and 19x 2027 core business EPS, which we think can help support the stock. Reiterate Buy.

Estimates (Dec) (US$)	2023A	2024A	2025E	2026E	2027E
EPS	19.65	28.26	35.87	38.44	41.96
GAAP EPS	14.92	23.92	22.88	28.86	30.11
EPS Change (YoY)	53.6%	43.8%	26.9%	7.2%	9.2%
Consensus EPS (Bloomberg)			35.37	34.54	39.66
Consensus EPS (Visible Alpha)			24.45	29.10	33.66
DPS	0	2.00	2.13	2.40	2.40
Valuation (Dec)					
P/E	35.4x	24.6x	19.4x	18.1x	16.6x
GAAP P/E	46.7x	29.1x	30.4x	24.1x	23.1x
Dividend Yield	0%	0.3%	0.3%	0.3%	0.3%
EV / EBITDA*	25.8x	18.3x	15.2x	13.1x	11.1x
Free Cash Flow Yield*	2.4%	3.0%	2.4%	1.8%	2.3%

* For full definitions of *IQmethod*SM measures, see page 9.

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Refer to important disclosures on page 10 to 12. Analyst Certification on page 8. Price Objective Basis/Risk on page 8. 12894100

Timestamp: 30 October 2025 01:42AM EDT

30 October 2025

Equity

Key Changes

(US$)	Previous	Current
Price Obj.	900.00	810.00
2025E Rev (m)	198,636.4	200,240.4
2026E Rev (m)	236,904.6	240,209.8
2027E Rev (m)	278,123.5	284,765.8
2025E EPS	35.95	35.87
2026E EPS	40.39	38.44
2027E EPS	45.04	41.96
2025E DPS	2.15	2.13

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Stock Data

Price	696.22 USD
Price Objective	810.00 USD
Date Established	30-Oct-2025
Investment Opinion	B-1-7
52-Week Range	479.80 USD - 796.25 USD
Mrkt Val (mn) / Shares Out (mn)	1,809,476 USD / 2,599.0
Free Float	99.9%
Average Daily Value (mn)	8373.16 USD
BofA Ticker / Exchange	META / NAS
Bloomberg / Reuters	META US / META.OQ
ROE (2025E)	46.3%
Net Dbt to Eqty (Dec-2024A)	2.8%

IDFA: Identifier for Advertisers
AGI: Artificial General Intelligence
CAGR: Compound Annual Growth Rate
DAU: Daily Active User
MAU: Monthly Active User
ARPU: Average Revenue per User
AH: After Hours
RL: Reality Labs
GM: Gross Margin
2H: Second Half
ROI: Return on Investment
AH: After Hours

iQprofile℠ Meta Platforms Inc

iQmethod℠ **– Bus Performance***

(US$ Millions)	2023A	2024A	2025E	2026E	2027E
Return on Capital Employed	28.5%	34.8%	27.0%	29.7%	25.9%
Return on Equity	36.9%	43.9%	46.3%	38.8%	32.1%
Operating Margin	46.0%	53.2%	52.3%	47.0%	43.0%
Free Cash Flow	44,068	54,072	43,260	31,801	41,267

iQmethod℠ **– Quality of Earnings***

(US$ Millions)	2023A	2024A	2025E	2026E	2027E
Cash Realization Ratio	1.4x	1.2x	1.2x	1.5x	1.6x
Asset Replacement Ratio	2.4x	2.4x	3.8x	3.7x	2.8x
Tax Rate	17.6%	11.7%	30.8%	13.6%	14.0%
Net Debt-to-Equity Ratio	-3.0%	2.8%	15.4%	11.4%	6.1%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US$ Millions)	2023A	2024A	2025E	2026E	2027E
Sales	134,901	164,500	200,240	240,210	284,766
% Change	15.7%	21.9%	21.7%	20.0%	18.5%
Gross Profit	109,840	135,397	164,874	191,624	220,827
% Change	19.2%	23.3%	21.8%	16.2%	15.2%
EBITDA	72,376	102,069	122,442	142,210	167,899
% Change	44.8%	41.0%	20.0%	16.1%	18.1%
Net Interest & Other Income	677	1,284	2,498	1,480	1,630
Net Income (Adjusted)	**51,488**	**73,718**	**92,367**	**98,321**	**106,770**
% Change	**49.4%**	**43.2%**	**25.3%**	**6.4%**	**8.6%**

Free Cash Flow Data (Dec)

(US$ Millions)	2023A	2024A	2025E	2026E	2027E
Net Income from Cont Operations (GAAP)	39,097	62,387	58,917	73,829	76,613
Depreciation & Amortization	11,177	15,498	18,813	30,421	46,484
Change in Working Capital	2,437	1,051	(414)	8,131	8,947
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	18,402	12,392	37,328	32,009	37,971
Capital Expenditure	(27,045)	(37,256)	(71,384)	(112,589)	(128,747)
Free Cash Flow	**44,068**	**54,072**	**43,260**	**31,801**	**41,267**
% Change	**130.5%**	**22.7%**	**-20.0%**	**-26.5%**	**29.8%**
Share / Issue Repurchase	0	0	0	0	0
Cost of Dividends Paid	0	(5,071)	(5,370)	(6,008)	(5,960)
Change in Debt	8,455	10,432	0	0	0

Balance Sheet Data (Dec)

(US$ Millions)	2023A	2024A	2025E	2026E	2027E
Cash & Equivalents	41,862	43,889	17,793	18,081	28,128
Trade Receivables	16,169	16,994	19,526	22,612	25,777
Other Current Assets	27,334	39,162	46,892	48,855	50,045
Property, Plant & Equipment	96,587	121,346	177,737	259,905	342,168
Other Non-Current Assets	47,671	54,663	70,471	70,531	70,591
Total Assets	**229,623**	**276,054**	**332,420**	**419,984**	**516,709**
Short-Term Debt	1,623	1,942	2,113	2,113	2,113
Other Current Liabilities	30,337	31,654	41,198	54,238	67,399
Long-Term Debt	35,611	47,118	48,947	48,947	48,947
Other Non-Current Liabilities	8,884	12,703	23,923	24,123	24,323
Total Liabilities	**76,455**	**93,417**	**116,181**	**129,421**	**142,782**
Total Equity	**153,168**	**182,637**	**216,239**	**290,563**	**373,927**
Total Equity & Liabilities	**229,623**	**276,054**	**332,420**	**419,984**	**516,709**

* For full definitions of *iQmethod*℠ measures, see page 9.

Company Sector

Internet/e-Commerce

Company Description

Meta Platforms is the largest social network with over 3 billion monthly active users across its properties. The company generates revenue from advertising and payments, with over 95% of revenue from advertising. Meta's revenues are split at rough 50% in North America, and 50% in International markets.

Investment Rationale

Meta is an investment in increasing social and mobile Internet usage, and also offers exposure to the increasing use of AI/ML technology and potential long-term Metaverse opportunity. With the new efficiency mentality, we believe Meta is positioned for strong EPS growth when advertising environment improves.

EU: European Union
GPU: Graphic Processing Unit
OCF: Operating Cash Flows
LLaMA: Large Language Model Meta AI
EC: European Commission
PO: Price Objective
Decel: Deceleration
COGS: Cost of Goods
S&M: Sales and Marketing
G&A: General and Administrative
OI: Operating Income

Stock Data

Average Daily Volume	12,026,597

Quarterly Earnings Estimates

	2024	2025
Q1	5.72A	7.69A
Q2	6.39A	8.62A
Q3	7.16A	9.24A
Q4	9.00A	10.33E

Stock views and valuation

We continue to believe Meta is still in the early stages of realizing AI-driven gains within its core ad business. We remain constructive on the company's AI investments, which are driving measurable improvements in user engagement and advertiser performance. They also offer optionality to capture potential upside from emerging AI use cases such as AI assistants, generative creative tools, & outsourcing Meta computing capabilities. While earnings growth will likely flatten out next year on long-term capacity investments, we think Meta remains well positioned to drive durable growth supported by AI-driven improvements across ad stack and expanding monetization opportunities in AI, messaging and newer surfaces.

For 2026, we see multiple growth drivers (higher usage, AI improvements, ramping SFV & messaging monetization, and ads in untapped assets - Threads, Meta AI, Marketplace) that can drive upside to Street revenue estimates. However, if revenue upside does not materialize, we believe Meta has flexibility to moderate expenses, driving higher profitability. Next catalyst: Launch of Meta Business AI (fully automated ad campaigns, currently in Beta), which can lower barriers to ad creation, especially for SMBs, and unlock incremental ad spend, driving higher growth in 2026. We expect Meta's new LLM late in 2Q or early 3Q, which should help unlock a flurry of new user products.

We are rolling forward our valuation framework to 2027 EPS and lowering our PO to $810 (from $900) based on a lower 2027 GAAP EPS of $30.11 and unchanged 27x multiple. Using AH stock price of ~$696, Meta is valued at 23x our revised 2027 GAAP EPS estimate (or 19x ex-Reality Labs) or 10.5x our 2027 EBITDA of $164bn. On Price/FCF basis, the stock is valued at 52x. We continue to see a much higher growth potential relative to the S&P 500 given a big AI opportunity ahead.

Exhibit 1: Meta sum-of-the-parts analysis
In the AH price of $696, Meta is trading at 23x our revised 2027 GAAP EPS estimate (23x ex-cash).

2027E Sum of Parts P/E $mn, except per share data		
Stock Price	$695	Comments
+ Net Cash (YE'26)	$15,158	
+ Facebook Reality Labs	$0	Taking a conservative view, we assume no value for Reality Labs
	$15,15	
Total Adjustments	8	
Diluted shares (YE'26)	2,558	
Total Adjustments per share	$6	
Adjusted stock price for cash	$689	
2027E non-GAAP EPS	$41.96	
FB core Adjusted non-GAAP EPS (ex-Facebook Reality Labs)	$48.86	Adding back $21bn in losses and assuming a 14% tax rate
2027E GAAP EPS	$30.11	
FB core Adjusted GAAP EPS (ex-Facebook Reality Labs)	$36.67	Adding back $21bn in losses and assuming a 14% tax rate
2027 FCF/Share	$13.47	
Current GAAP 2027E P/E	23x	
Core FB Adjusted GAAP 2027E P/E	19x	
Current GAAP 2027E ex-cash P/E	23x	
Price/FCF	52x	

Source: BofA Global Research

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2yr Forward GAAP P/E Multiple

At the AH stock price of ~$696, Meta is valued at 24x our revised 2026 GAAP EPS (23x 2027 EPS) vs 8yr historical avg. of 21x and range of 12-30x. Meta is currently at a 1pts premium to the S&P 500 vs a 3pts premium historical average.

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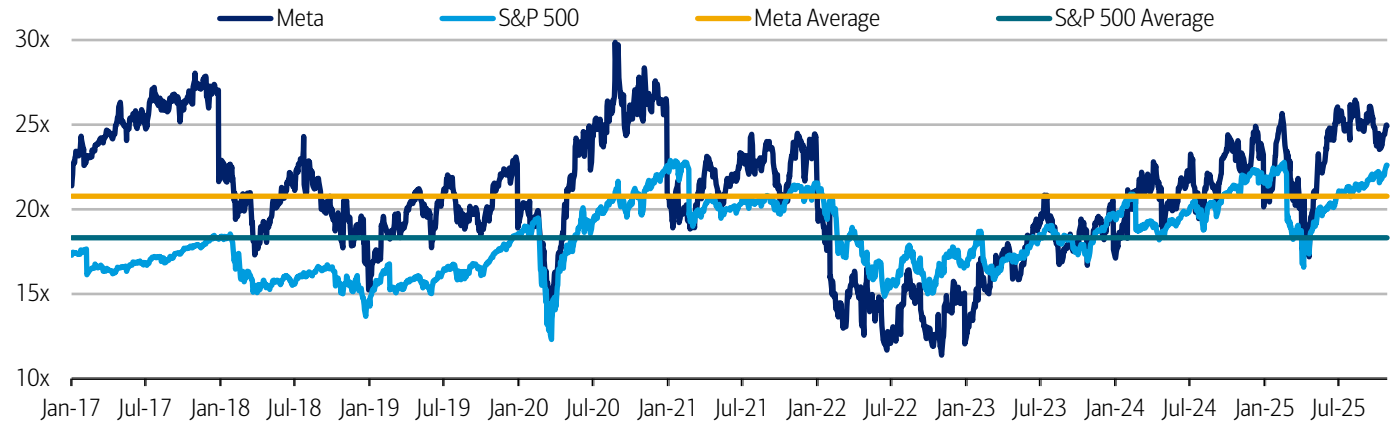
Exhibit 2: Meta 2yr Forward GAAP PE (2017 – Present)
At the AH stock price of ~$696, Meta is currently trading at 24x our revised 2026 GAAP EPS (23x 2027 EPS).



Source: Bloomberg

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3Q Positives:

- **3Q Rev beat:** 3Q Rev of $51.2bn was above Street at $49.6bn. Meta 3Q ad revenue of $50.0bn was above Street at $48.6bn and grew 26% y/y, accelerating 5pts q/q on 3pts easier comp. On ex-FX basis, ad revenue grew 25% y/y accelerating 3pts on 3pts easier comp.
- **Continued market share gains:** Meta's ad platform improvements are driving incremental budget shifts from competitors and continued market share gains. We estimate 22% ex-FX ad growth in 4Q and see potential for acceleration in 1Q on easier comps.
- **AI integration driving stronger engagement**: Management highlighted improvements in AI-powered content recommendations are meaningfully enhancing user experience and time spent on the platform. In 3Q, time spent on FB increased 5% and Threads increased 10%. Management noted time spent on Instagram videos increased more than 30% y/y in 3Q and Reels in now a $50bn ARR business.
- **Growing adoption of automated ad products**: Management highlighted revenue from automated ad tools (e.g., Advantage+) has surpassed $60bn ARR. With ~30% of total ad revenue coming from automated products, we believe growing adoption of these tools could drive higher growth as advertisers shift more budgets toward performance-optimized campaigns.
- **Monetization of untapped surfaces**: Meta highlighted early monetization of Threads and the introduction of ads in the WhatsApp Status tab. These surfaces could drive incremental growth in 2026.
- **Outlook for lower cash taxes**: Meta noted with the enactment of the new US tax law, the company anticipate a reduction in US federal cash tax for the remainder of the current year and future year.

3Q Negatives

- **Outlook suggests declining margins**: With a small change to our above-Street revenue outlook and Meta's outlook for significant expense growth in 2026, we expect 2026 margin pressure and limited earnings growth. We

estimate 2026 revenue growth of 20%, expense growth of 33% and operating margins down approx. 6pts y/y to 35%.

- **Growing fixed cost base could increase earnings volatility**: Meta's fixed cost structure is expanding due to increased investments in AI infrastructure, data centers, etc. With ~98% of revenue still tied to digital advertising and sensitive to macro fluctuations, any slowdown in ad spend could significantly pressure margins and earnings due to more limited fixed cost flexibility.
- **Higher capex pressuring FCF**: Meta increased the lower end of FY25 capex guide to $70–$72bn (from $66–$72bn) vs Street estimates at $69bn to support additional data center investments for AI efforts as well as an increase in the expected cost of infrastructure hardware. The company also expects FY26 capex dollar growth above FY25, implying y/y growth of at least ~$30bn. We estimate 2026 capex at $113bn and FCF to decline to $31bn from $43bn in 2026 (our estimate includes a $5bn cash tax benefit in 2026).
- **Risk to Less Personalized Ads offering (LPA) in EU**: Management noted that changes to the ad-free subscription model in the EU could impact user experience, the business model, and regional revenue as early as late 3Q'25. In 2024, the EEA and Switzerland accounted for 16% of Meta's global ad revenue. Meta noted it has appealed EC's DMA decision but noted any modifications to the business model may be imposed during the appeal process.
- **Lower cadence of share repurchases**: In 3Q, Meta repurchased $3.3bn of stock (vs $10.2bn in 2Q), total $26.2bn in TTM. Total diluted share count was down 1.1% y/y in 3Q (vs down 1.5% in 2Q) and was up slightly q/q.

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Actual vs Expected Results

Exhibit 3: Actual vs Stret Estimates
3Q Revenue/EPS was mixed vs Street estimates.

3Q'25 Actual vs Street					
	BofA Ests	Street Ests	Actual	Actual - Street	Actual - BofA
Revenues					
Ad revenue	$49,097	$48,633	$50,082	$1,449	$985
Y/Y	*23%*	*22%*	*26%*	3.6%	2.5%
Q/Q	*5%*	*4%*	*8%*	3.1%	2.1%
FoA Other Revenue	$629	$603	$690	$87	$61
Y/Y	*45%*	*39%*	*59%*	20%	14%
Reality Labs revenue	$284	$314	$470	$156	$186
Y/Y	*5.2%*	*16.3%*	*74.1%*	58%	69%
Total Revenue	$50,010	$49,550	$51,242	$1,692	$1,232
Y/Y	*23.2%*	*22.1%*	*26.2%*	4.2%	3.0%
Q/Q	*5%*	*4%*	*8%*	4%	3%
Cost of revenue	8,706	9,118	8,860	($258)	$154
As a % of revenue	17.4%	18.4%	17.3%	(1.1%)	(0.1%)
Gross Profit	41,304	40,432	42,382	$1,950	$1,078
Gross Margin	82.6%	81.6%	82.7%	1.1%	0.1%
M&S	2,910	2,978	2,434	($544)	($476)
R&D	9,925	10,530	10,713	$183	$788
G&A	2,598	2,571	3,145	$574	$547
SBC	4,737	4,985	5,555	$570	$818
Total GAAP Opex	28,876	29,997	30,707	$710	$1,831
Oper. Income - GAAP	$21,134	$19,563	$20,535	$972	($599)
Margin	42.3%	39.5%	40.1%	0.6%	(2.2%)
Y/Y	*22%*	*13%*	*18%*	*6%*	*(3%)*
Incremental Margin	*41%*	*25%*	*31%*	*7%*	*(10%)*
Oper. Income non-GAAP	26,268	24,691	26,511	$1,820	$243
Margin	52.5%	49.8%	51.7%	1.9%	(0.8%)
Other Income (Expense), net	400	177	1,128	$951	$728
Income Tax Expense (Benefit)	2,929	2,585	18,954	$16,369	$16,025
Tax Rate (%)	*14%*	*16%*	*87%*	71.5%	73.9%
GAAP EPS (Diluted)	$7.30	$6.70	$1.05	($5.64)	($6.24)
non-GAAP EPS	$8.99	$8.25	$9.24	$0.99	$0.25
EBITDA	$30,691	$29,730	$31,053	$1,323	$362
Margin	61.4%	60.0%	60.6%	0.6%	(0.8%)
Free Cash Flow	15,281	11,740	11,170	($570)	($4,111)
Capital expenditures	19,004	18,571	18,829	$258	($175)
Depreciation & Amortization	4,820	5,045	4,963	($82)	$143
Daily Active People (bn)	3.50	3.50	3.54	0.04	0.04
Avg. Rev per person (ARPP)	$14.21	$14.16	$14.46	$0.30	$0.25
Total ad impressions delivered (y/y %)	12%	-	14%	-	2%
Average Price per ad (y/y %)	10%	-	10%	-	0%
Headcount	78,223	77,811	78,450	639	227

Source: BofA Global Research estimates, company filings
Note: M&S, R&S, G&A and Cost of Revenue actual numbers are excluding estimated SBC

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Estimate Changes

We are slightly raising our revenue estimates to reflect higher user growth but materially increasing expense to account for elevated D&A and higher AI-related talent costs. For 2026, we raise revenue by 1% to $240bn (+20% y/y), expenses by 8% to $156bn (+33% y/y) & are lowering EPS by 10% to $28.86.

PO Change: We are rolling forward our valuation framework to 2027 and lowering our PO to $810 (from $900) based on 14% lower 2027E GAAP EPS of $30.11 and an unchanged 27x multiple.

Exhibit 4: Meta Platforms Estimate Changes ($mn except per share data)
We are lowering our 2027 GAAP EPS estimates, key for valuation, by 14% to $30.11.

	4Q'25 Estimates			1Q'26 Estimates			2026 Estimates			2027 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Revenues												
Advertising revenue	56,861	57,410	549	49,795	51,155	1,360	231,206	234,314	3,107	271,361	277,696	6,335
Y/Y	*22%*	*23%*	*1%*	*20%*	*24%*	*3%*	*19%*	*20%*	*1%*	*17%*	*19%*	*1%*
Q/Q	*16%*	*15%*	*-1%*	*-12%*	*-11%*	*2%*						
Other FoA revenue	727	789	62	689	714	26	3,206	3,482	276	4,027	4,509	482
Y/Y	*40%*	*52%*	*12%*	*35%*	*40%*	*5%*	*31%*	*35%*	*4%*	*26%*	*30%*	*4%*
Reality Labs revenue	1,208	969	(239)	451	451	0	2,492	2,415	(78)	2,736	2,561	(175)
Y/Y	*12%*	*-10%*	*-22%*	*9%*	*9%*	*0%*	*10%*	*9%*	*-1%*	*10%*	*6%*	*-4%*
Total Revenue	$58,796	$59,168	$372	$50,934	$52,320	$1,386	$236,905	$240,210	$3,305	$278,123	$284,766	$6,642
Y/Y	*22%*	*22%*	*1%*	*20%*	*24%*	*3%*	*19%*	*20%*	*1%*	*17%*	*19%*	*1%*
Cost of revenue	10,621	10,987	366	9,559	9,888	329	46,575	48,586	2,011	61,195	63,939	2,744
As a % of revenue	18.1%	18.6%	0.5%	18.8%	18.9%	0.1%	19.7%	20.2%	0.6%	22.0%	22.5%	0.5%
Gross Profit	48,175	48,182	7	41,375	42,432	1,057	190,330	191,624	1,294	216,929	220,827	3,898
Gross Margin	*81.9%*	*81.4%*	*-0.5%*	*81.2%*	*81.1%*	*-0.1%*	*80.3%*	*79.8%*	*-0.6%*	*78.0%*	*77.5%*	*-0.5%*
R&D	11,216	12,106	890	11,440	12,469	1,029	51,502	56,771	5,269	64,670	75,076	10,406
S&M	3,404	2,823	(581)	2,860	2,400	(460)	12,066	10,267	(1,798)	13,141	10,514	(2,627)
G&A	2,838	3,302	464	2,781	3,236	455	11,723	13,607	1,884	12,768	14,811	2,043
SBC	4,927	5,833	906	5,173	5,949	776	22,966	27,009	4,043	27,113	32,971	5,859
GAAP Total Expenses incl. COGS	33,006	35,051	2,045	31,813	33,942	2,129	144,832	156,240	11,408	178,886	197,311	18,425
Y/Y	*32%*	*40%*	*8%*	*28%*	*37%*	*9%*	*27%*	*33%*	*6%*			
Operating Income - GAAP	$25,791	$24,118	($1,673)	$19,121	$18,378	($743)	$92,073	$83,970	($8,103)	$99,237	$87,455	($11,782)
Margin	44%	41%	-3%	38%	35%	-2%	39%	35%	-3.9%	36%	31%	-5.0%
Incremental margin	*24%*	*7%*	*-17%*	*19%*	*8%*	*-10%*	*19%*	*3%*	*-16%*	*18%*	*8%*	*-10%*
Income Tax Expense	3,569	3,341	(228)	2,649	2,548	(101)	12,722	11,621	(1,101)	14,105	12,472	(1,633)
Tax Rate	14%	14%	0%	14%	14%	0%	14%	14%	0%	14%	14%	0%
GAAP EPS (Diluted)	$8.90	$8.27	($0.64)	$6.63	$6.31	($0.32)	$32.09	$28.86	($3.23)	$34.96	$30.11	($4.86)
non-GAAP EPS	$10.66	$10.33	($0.34)	$8.49	$8.43	($0.07)	$40.39	$38.44	($1.95)	$45.04	$41.96	($3.08)
EBITDA	$36,067	$35,559	($508)	$30,286	$30,664	$379	$143,385	$141,400	($1,984)	$167,045	$166,910	($135)
Margin	*61.3%*	*60.1%*	*-1.2%*	*59.5%*	*58.6%*	*-0.9%*	*60.5%*	*58.9%*	*-1.7%*	*60.1%*	*58.6%*	*-1.4%*
FCF	11,499	11,982	483	7,040	5,182	(1,859)	37,342	31,801	(5,541)	51,681	41,267	(10,413)
D&A	5,350	5,608	258	5,992	6,337	346	28,345	30,421	2,076	40,695	46,484	5,789
Capital Expenditures	20,579	23,076	2,497	22,411	26,683	4,272	100,863	112,589	11,726	109,822	128,747	18,925
Headcount	80,271	80,503	233	82,611	82,850	239	87,973	88,228	255	96,747	97,028	280
Daily Active People (bn)	3.55	3.59	0.04	3.60	3.66	0.06	3.70	3.78	0.08	3.83	3.94	0.11
Avg. Rev per person (ARPP)	$16.2	$16.2	$0.0	$14.0	$14.2	$0.1	$63.4	$62.9	-$0.4	$71.90	$71.63	-$0.28
Ad impressions delivered (y/y %)	12%	15%	3%	9%	13%	4%	10%	11%	2%	8%	9%	1%
Average price per ad (y/y %)	8%	7%	-2%	10%	9%	-1%	9%	8%	-1%	9%	9%	0%

Source: BofA Global Research Estimates

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Price objective basis & risk

Meta Platforms Inc (META)

Our $810 price objective is based on 27x 2027E GAAP EPS, plus net cash. On a total company basis, including Metaverse investments, our valuation is at a slight premium to S&P 500 given Meta's higher growth rate and AI opportunity. Historically, Meta has traded at an average premium of 3pts to S&P 500.

Downside risks are decline in user activity from competition, privacy or date issues impact revenue generation, potential for Street to assign a negative value to Metaverse (Reality Labs) given significant investments, and new regulations that impact monetization.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Carvana	CVNA	CVNA US	Michael McGovern
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	DoorDash	DASH	DASH US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Peloton	PTON	PTON US	Nafeesa Gupta
	Pinterest	PINS	PINS US	Justin Post
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	StubHub Holdings	STUB	STUB US	Justin Post
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	CoStar Group, Inc	CSGP	CSGP US	Curtis Nagle, CFA
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Reddit	RDDT	RDDT US	Justin Post
	Snap	SNAP	SNAP US	Justin Post
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Udemy Inc	UDMY	UDMY US	Nafeesa Gupta
	Zillow	Z	Z US	Omar Dessouky, CFA

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA
UNDERPERFORM				
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Michael McGovern
	Unity	U	U US	Omar Dessouky, CFA
	Vivid Seats	SEAT	SEAT US	Curtis Nagle, CFA
	Yelp	YELP	YELP US	Nitin Bansal, CFA

*iQ*method℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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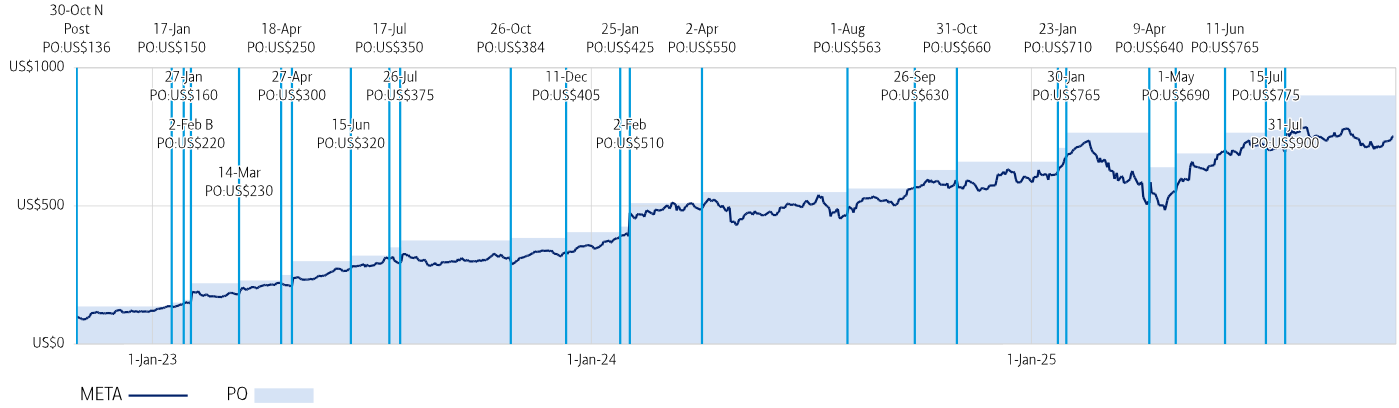
Meta Platforms (META) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	195	51.72%	Buy	99	50.77%
Hold	103	27.32%	Hold	52	50.49%
Sell	79	20.95%	Sell	23	29.11%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1816	53.11%	Buy	1062	58.48%
Hold	825	24.13%	Hold	480	58.18%
Sell	778	22.76%	Sell	385	49.49%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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